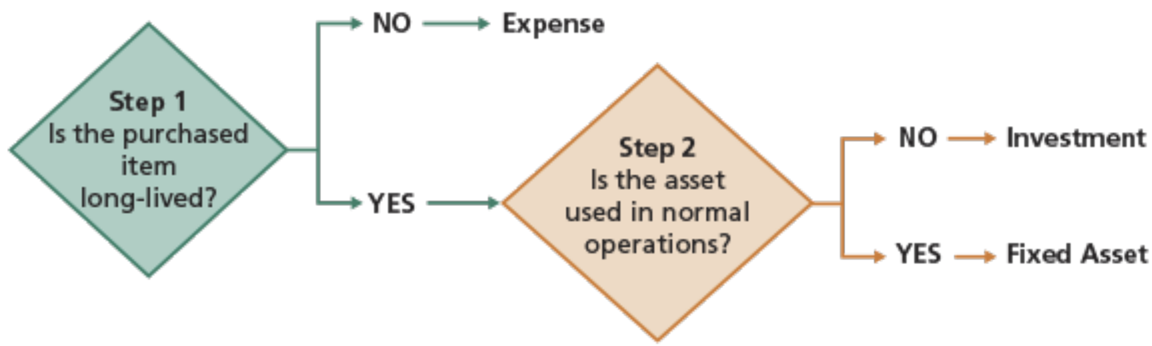
9-1a Classifying Costs

A cost that has been incurred may be classified as a fixed asset, an investment, or an expense. Exhibit 1 shows how to determine the proper classification of a cost and how it should be recorded.

Exhibit 1

Classifying Costs



As shown in Exhibit 1, classifying a cost involves the following steps:

Step 1.

Is the purchased item long-lived?

If *yes*, the item is recorded as an asset on the balance sheet, either as a fixed asset or an investment. Proceed to Step 2.

If *no*, the item is classified and recorded as an *expense*.

Step 2.

Is the asset used in normal operations?

If *yes*, the asset is classified and recorded as a *fixed asset*.

If *no*, the asset is classified and recorded as an *investment*.

Items that are classified and recorded as fixed assets include land, buildings, or equipment. Such assets normally last more than a year and are used in the normal operations of the business. However, standby equipment for use during peak periods or when other equipment breaks down is still classified as a fixed asset, even though it is not used very often. In contrast, fixed assets that have been abandoned or are no longer used in operations are not classified as fixed assets.

Link to McDonald’s

On a recent financial statement, **McDonald’s** reported total property, plant, and equipment of over $39 billion, which consists of land, buildings, and equipment.

Business Insight

Fixed Assets

Fixed assets often represent a significant portion of a company’s total assets. The table that follows shows the fixed assets as a percent of total assets for some select companies across a variety of industries. As can be seen, the type of industry will impact the proportion of fixed assets to total assets. Retail has the highest percent of fixed assets to total assets, while software is on the lower end of the scale. High-tech service companies often use fewer fixed assets to deliver their services than will companies that use stores, equipment, planes, cell towers, or theme parks.

Company	Industry	Percent of Fixed Assets to Total Assets
Target Corporation (TGT)	Merchandise Retail	62%
McDonald’s Corporation (MCD)	Food Retail	51%
Delta Air Lines, Inc. (DAL)	Transportation	49%
Verizon Communications Inc. (VZ)	Communications	32%
Facebook, Inc. (FB)	Social Media	26%
The Walt Disney Company (DIS)	Entertainment	16%
Microsoft Corporation (MSFT)	Software	13%

Fixed assets have important properties that require management attention:

- Fixed assets require a long-term commitment. Mistakes in acquiring fixed assets can be very costly and difficult to reverse; thus, managers must take special care in acquiring fixed assets.
- Fixed assets wear out over time and need to be replaced. Managers must monitor fixed assets and know when to replace fixed assets due to wear and tear or obsolescence.
- Fixed assets need to be maintained during use. Managers need to develop maintenance programs to keep the investment in fixed assets productive.

- Fixed assets often require significant funds to purchase. Managers must acquire funding internally or by other sources to finance the purchase of fixed assets.

Although fixed assets may be sold, they should not be offered for sale as part of normal operations. For example, cars and trucks offered for sale by an automotive dealership are not fixed assets of the dealership. On the other hand, a tow truck used in the normal operations of the dealership is a fixed asset of the dealership.

Investments are long-lived assets that are not used in the normal operations and are held for future resale. Such assets are reported on the balance sheet in a section entitled *Investments*. For example, undeveloped land acquired for future resale would be classified and reported as an investment, not land.